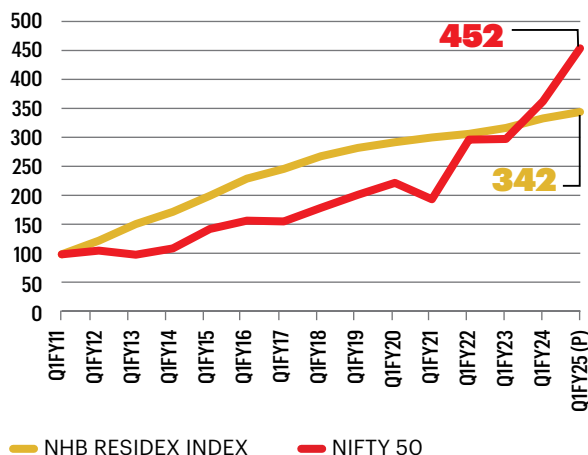


WEALTH GENERATION

- Both asset classes can perform differently over time, so avoid short-term fluctuations and focus on the long term
- Property can yield stable income and potential appreciation whereas MFs offer diversification and growth potential



DATA HAS BEEN INDEXED TO 100 ; P: PROJECTION
SOURCE BANKBAZAAR.COM

With the increasing prevalence of nuclear families and migrations abroad, MFs are gaining popularity as a key component of legacy planning. Naveen Kukreja, Co-founder and CEO of online credit marketplace Paisabazaar.com, says, “One’s children may need to settle in [a different] geography in future and in that case, an MF corpus would be more convenient to handle than physical property.”

Industry data shows that real estate outperformed MFs in some years and MFs in others. Real estate provides better long-term returns, especially in major metro cities, while MFs outperform real estate during recessions. Shetty explains: “The all-India RBI House Price Index has grown at an average rate of 4.11% last year, which makes price appreciation comparable to returns from a savings account. During the same period, the Nifty 50 and Sensex have averaged around 13% annual returns. Both asset classes, of course, will contain pockets of much higher growth.”

Anil Rego of Right Horizons notes that if you incorporate a 5% annual rental income, the adjusted growth would reach 9%. The adjusted growth may differ from one city to another. “For instance, 1BHK prices in the Bengaluru region have surged the most, with the adjusted growth estimated at around 12%,” he explains.

DIVERSIFICATION MATTERS

As the Pandeys struggled to decide how much to allocate to each option and whether purchasing a property at this stage is advisable, they have decided to seek guidance from a financial advisor.

Experts suggest that a diversified portfolio, which may encompass major options such as real estate and MFs, can effectively balance risk and reward, safeguarding your legacy while ensuring the growth of the corpus over time.

If the family belongs to the upper middle class and is without debt, buying a property at the age of 40 with a home loan doesn’t make sense because retirement planning must begin then. But, if you own property, then mark it for legacy planning and start investments in MFs to build wealth, says Rego.

“Moreover, if you can buy a property without taking on a big loan and can effectively use the home loan tax benefits, it may be a good option. However, ensure you can comfortably repay the loan and it doesn’t hinder your retirement plans,” he advises.

Increasingly, people are opting for the MF route for legacy creation. “It is due to the flexibility that MFs offer of having exposure to multiple asset classes, the options to liquidate/transfer in parts, the simplified management of operational elements, thanks to their digital ease and transparency, and the relative ease of transmission post-death,” says Vishal Dhawan, a Certified Financial Planner and Founder Director of Plan Ahead Wealth Advisors.

However, experts agree that the best investment strategy for legacy planning depends on your individual circumstances, risk tolerance, and financial goals.

John Thomas, MD of real estate investment and asset management firm Assets Xperts, says, while MFs are low-fund investments with high liquidity, they come with very high risk. “Real estate, on the other hand, is historically the most valuable and profitable asset class across the world because of its tangibility. Though it depends on one’s financial goals, risk tolerance, and the expected timeline for any investment, real estate is the one out of the two that is the better as per historical evidence. However, combining both strategies can also be effective in building a legacy,” he says.

With a plan in place, the Pandeys feel a sense of relief as they have taken a significant step towards securing their child’s future. As they watch the city lights from their balcony on a lazy Saturday evening, they feel satisfied that they have taken the first steps towards securing their legacy. **BT**

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